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JUDGMENT SHEET

LAHORE HIGH COURT LAHORE

JUDICIAL DEPARTMENT

FAO No.3305 of 2026

Muhammad Mudassar vs. The Lake City Holdings Pvt. Ltd.
Iqbal

J U D G M E N T

Dates of Hearing:	20.04.2026; 23.04.2026; 28.04.2026.
Appellant by:	Mr. Saqib Majeed, Advocate.
Petitioners in connected petitions by:	Ms. Salman Mansoor and Mr. Muhammad Adil Chattha, Advocates in W.P. No.21127/2026. Mr. Bashir Hussain Chaudhry, Advocate in W.P. Nos.22275/2026 and 22279/2026.
Province of Punjab by:	Mr. Muhammad Saad Bin Ghazi, Assistant Advocate General.
Respondents by:	Mr. Adeel Anjum, Advocate (in present case). Mr. Sultan Hassan Malik, Advocate for respondents No.4 and 5 in connected W.P. No.21127/2026. Mr. Anwar-ul-Haq Khokhar, Advocate for respondent No.4 in W.P. Nos.22275/2026 and 22279/2026. Respondents No.3, 5 and 6 in W.P. Nos.22275/2026 and 22279/2026 proceeded against <i>ex-parte vide</i> order dated 23.04.2026.
<i>Amici Curiae:</i>	Mr. Nauman Khalid, Assistant Attorney General. Syed Muhammad Aala Imran, Advocate.

Anwaar Hussain, J. Through this single judgment, the present appeal and connected constitutional petitions, bearing W.P. Nos.21127/2026, 22275/2026, and 22279/2026, are being decided simultaneously, as a common question of law, regarding the scope and extent of jurisdiction conferred upon the Special Court(s), established under the Punjab Establishment of Special Courts (Overseas Pakistanis Property) Act 2025 (“**the Act**”), is involved.

2. Before addressing the legal question, it will be appropriate to briefly state the factual matrix of each case.

- i. **FAO No.3305/2026:** The appellant contends that he is an Overseas Pakistani as defined under the Act,¹ and presently residing in Kuwait and through impugned order dated 23.12.2025, the Special Court constituted under the Act has refused to exercise jurisdiction in the suit instituted by the appellant, *inter alia*, for declaration, specific performance, against respondent—M/s Lake City Holdings Pvt. Ltd., on the ground that the Act is a special and purpose-specific legislation enacted to secure and protect existing rights of ownership and possession of Overseas Pakistanis in respect of the immovable property, whereas the appellant is claiming specific performance, which is a civil dispute arising out of the contractual obligation that does not fall under the purview of the Act, keeping in sight its preamble, and hence, the matter has been referred to the District and Sessions Judge, Lahore for entrustment to the Civil Court. It is worth mentioning that the suit was originally filed in the Civil Court

¹ Section 2 (c) of the Act----“**Overseas Pakistani**” means any person holding a Pakistani passport, computerized national identity card (CNIC), National Identity Card for Overseas Pakistanis (NICOP), Pakistan Origin Card (POS) or Overseas Pakistani Foundation (OPF) membership card proving his nationality and is living, working or studying abroad permanently or temporarily for more than one hundred and eighty-two (182) days in a tax year.

and heard by the designated Civil Court for Overseas Pakistanis and upon promulgation of the Act, the same was transferred to the Special Court, however, the Special Court, through impugned order dated 23.12.2025, has declined to exercise jurisdiction and again matter has been entrusted to Civil Court through order dated 03.01.2026, by the District & Sessions Judge, Lahore.

- ii. **W.P. No.21127/2026:** Challenge has been laid to order dated 24.02.2026 passed by the Special Court, Lahore whereby the said Court has held that the suit of the petitioner and his real brother for cancellation of General Power of Attorney (“**the GPA**”) and setting aside the transaction(s) made on the strength thereof is not maintainable as the petitioner and his brother do not hold any title/ownership of the suit property and are merely seeking cancellation of the GPA and subsequent transaction(s), to create rights in respect of the property, purportedly belonging to their father. It is worth mentioning that this suit was also initially filed with the Civil Court. The Special Court, through impugned order dated 24.02.2026, has declined to exercise jurisdiction and again the matter has been entrusted to the Civil Court through order dated 27.02.2026, by the District & Sessions Judge, Lahore.
- iii. **W.P. No.22275/2026:** This constitutional petition is directed against order dated 03.03.2026 passed by the Special Court, Lahore whereby the petition/application of the petitioner alongwith others for grant of succession certificate was sent back to the Civil Court.
- iv. **W.P. No.22279/2026:** The petitioner in this case claimed to be the Overseas Pakistani and has laid challenge to impugned order dated 03.03.2026 through which the case titled

“Muhammad Ahmad Nawaz etc. v. Babra Nawaz etc.”, in which the petitioner is plaintiff No.2, has been sent back to the Civil Court. The petitioner sought declaration, cancellation of transfer letter bearing reference No.01/02311 dated 25.11.2020, issued by defendant No.4/DHA, on the basis of a *hibanama*. It is worth mentioning that this suit was also initially filed with the Civil Court. The Special Court, through impugned order dated 03.03.2026, has declined to exercise jurisdiction and again matter was entrusted to the Civil Court through order dated 07.03.2026, by the District & Sessions Judge, Lahore.

3. Learned counsel for the appellant in present case along with learned counsel for the petitioners in connected matters submit that a restrictive construction of the preamble of the Act in general, and the remaining provisions of the Act in particular, is contrary to the legislative intent, which has been made basis for passing of the impugned orders. It is argued that the Act is a beneficial legislation intended to protect Overseas Pakistanis in respect of their proprietary rights and that mere reference in the preamble to the ownership and possession of immovable property cannot be read to exclude ancillary matters such as specific performance, or inheritance disputes etc. They also contend that there is another practical difficulty arising in the wake of the erroneous interpretation of the Act, inasmuch as upon coming into force of the Act, all pending matters involving Overseas Pakistanis, pertaining to immovable property, were required to be transferred to the Special Courts and to proceed from the stage already attained but either the needful was not done, or after transfer, the Special Courts have not entertained the same as is the position in present matters but also in a number of cases instituted after the enforcement of the Act, the proceedings have either been entertained by Civil Courts and have continued therein without recourse to the Special Courts after refusal of

the Special Courts to entertain the same and in such circumstances, a question arises as to whether, upon clarification of the legal position by this Court, such cases are to be instituted afresh before the Special Court or are to be transferred and continued from the stage already reached. It is urged that requiring fresh institution of the cases would impose an unnecessary burden upon litigants. It is, therefore, prayed that an appropriate declaration be passed to ensure that such matters are dealt with in a manner that preserves continuity of the proceedings and avoids multiplicity of litigation.

4. Conversely, learned counsel for the respondent in present appeal submits that jurisdiction of a Special Court must be strictly construed, and in absence of express language extending jurisdiction, the Civil Courts continue to retain authority over the matters pertaining to immovable property such as partition, specific performance and proceedings under Section 12(2) of the Code of Civil Procedure, 1908 (“CPC”). He submits that the appellant is merely an allottee of a plot in the respondent housing scheme and is neither owner of the disputed property nor in possession thereof—rather is seeking possession through specific performance, which suit cannot be entertained by the Special Court. This argument was adopted by learned counsel for respondents No.4 and 5 in constitutional petition bearing W.P. No.21127/2026 with the addition that in the said case, the petitioner is not the owner of the suit property and merely challenging, alongwith his brother, the GPA, executed by their father who was not an Overseas Pakistani, as defined under the Act. In connected cases bearing W.P. No.22275/2026 and W.P. No.22279/2026, the dispute is between the same parties. Learned counsel for respondent No.4 in said cases contends that the common petitioner (in both cases) has not established that he is an Overseas Pakistani. Further contends that petition bearing W.P. No.22275/2026 is not maintainable as the dispute does not relate to immovable property since order impugned therein has been passed on

application/petition of the petitioner along with few others for grant of succession certificate.

5. Mr. Saad Bin Ghazi, learned Assistant Advocate General, submits that the Act is beneficial legislation and if there is any conflict between preamble and other provisions, the same are to be harmoniously construed.

6. Considering the importance of the legal question, Mr. Nauman Khalid, Assistant Attorney General along with Syed Muhammad Aala Imran, Advocate were appointed as *Amici Curiae*. They contend that the primary purpose is to facilitate the Overseas Pakistanis *qua* their dispute in respect of the immovable property and not mere protection of existing ownership and possessory rights.

7. Arguments heard. Record perused.

8. Perusal of the record in present as well as connected cases, except in constitutional petition bearing W.P No.22275/2026, reveals that the impugned orders were passed by the Courts below in declining to entertain a case, on the premise that unless a case involves actual dispossession or admitted ownership of an Overseas Pakistani, in respect of immovable property, as required by the preamble of the Act, the jurisdiction of the Special Court is not attracted. However, in W.P No.22275/2026, dispute does not relate to immovable property and hence, the impugned order dated 03.03.2026 does not suffer from any infirmity. The principal issue therefore is whether such interpretation is consistent with the scheme of the Act, or whether the jurisdiction of the Special Court extends to all disputes relating to immovable property involving Overseas Pakistanis, including but not limited to title, inheritance, partition, specific performance, recovery of *mesne* profits, and connected matters.

9. The preamble of the Act reads as under:

“An Act to establish special courts for adjudication of petition in respect of immovable properties of overseas Pakistanis.

It is necessary to establish Special Courts in order to secure and provide for protection of rights of ownership and possession in respect of immovable properties of overseas Pakistanis and for matters connected therewith and incidental thereto.”

It is erroneous on part of the Courts below to hold, as well as the respondents to argue, that the Act is intended to provide protection in respect of ownership and possession of immovable properties of Overseas Pakistanis only, inasmuch as **the Act aims to establish the Special Courts to secure and protect not only the ownership and possession in respect of the immovable properties of the Overseas Pakistanis but also for matters connected therewith and incidental thereto.** The expressions “**matters connected therewith**” and “**incidental thereto**” occurring in the preamble are of considerable significance and cannot be treated as superfluous. The term “**connected**” is of wide connotation and embraces all matters having a nexus, whether direct or indirect, with the immovable property, including disputes as to title, validity of transactions, enforcement of contractual rights, partition and succession. Likewise, the expression “**incidental thereto**” extends to all ancillary and consequential issues which may arise in the course of adjudication, including questions necessary for complete and effective determination of rights in the immovable property. If these expressions are given their due meaning, it becomes evident that the legislative intent was not to confine the jurisdiction of the Special Courts merely to disputes of ownership or possession in a narrow sense, but to encompass the entire spectrum of controversies and ancillary issues relating to immovable property of the Overseas Pakistanis. Any interpretation that isolates the words “ownership” and “possession” while ignoring the expansive expressions “matters connected therewith and incidental

thereto” would amount to a selective reading of the preamble and would defeat the object of the Act.

10. Even otherwise, the Courts should not lose sight of the fact that the preamble is not an operative provision and cannot control or curtail the plain meaning of substantive provisions of a statute. The preamble merely serves as a key to understand the legislative intent and cannot be used to defeat the express scheme of the statute. The confusion which has arisen in the Courts below stems from an erroneous evaluation of the preamble into a limiting provision, coupled with an assumption that jurisdiction is dependent upon the Overseas Pakistani being necessarily the petitioner asserting possession or admitted ownership. This approach clearly ignores the definition clause of the Act along with various provisions thereof which must be kept in sight, and harmoniously interpreted so as to ensure that true objective of the Act is achieved.

11. Having observed hereinabove that the Courts below erred in appreciating the scope of the Act, it is also imperative to observe that the Act, in its present form, contains certain expressions which, if read in isolation, may give rise to an apparent ambiguity. For instance, Section 3 of the Act **indicates that the Special Courts are established to entertain the petitions filed by Overseas Pakistanis in relation to their immovable properties**². If this provision is construed literally and disjointedly from other provisions of the Act, an impression may arise as though the jurisdiction of the Special Court is confined only to cases initiated by an Overseas Pakistani as a petitioner, with no corresponding clarity regarding situations where such person is arrayed as a respondent or is otherwise required to defend proceedings relating to his property.

² **3. Establishment of special court, etc.**– (1) The Government may, by notification in the official Gazette, establish, in consultation with the Chief Justice of the Lahore High Court, as many special courts in the Punjab as it may deem necessary **to try petitions filed by overseas Pakistanis in relation to their immovable properties** and where more than one special court are established, the notification shall specify jurisdiction of each such special court.

Such a construction would lead to anomalous consequences, whereby an Overseas Pakistani may invoke the jurisdiction of the Special Court to initiate proceedings, yet be deprived of the same forum when called upon to defend his rights in respect of the very same property. If such an interpretation was to be adopted, it would lead to manifestly absurd and unjust consequences.

12. The apparent limitation in Section 3 stands clarified and expanded by Section 4(3) of the Act³, which expressly provides that all actions, disputes, petitions, suits, proceedings and matters connected therewith in which one or more of the parties are overseas Pakistanis shall be heard and adjudicated exclusively by the Special Court. The deliberate use of the words “one or more of the parties” removes any distinction between a petitioner/plaintiff or an applicant [for instance of application under Section 12(2), CPC] and a respondent/defendant, and clearly establishes that jurisdiction is attracted by the involvement of an Overseas Pakistani in the dispute, irrespective of the procedural posture of such party. The same legislative intent is further reflected in other provisions of the Act, including those relating to recording of evidence and facilitation thereof⁴, wherein the expression “litigant” is employed, without any distinction between the petitioner or respondent. The definition of Overseas Pakistani under Section 2(c) of the Act, being couched in broad and inclusive terms, identifies the class of persons intended to be protected, without linking such protection to any

³ 4. Filing of petition.— (1)...

(2) ...

(3) Notwithstanding anything contained in the Code or any other law for the time being in force, all actions, disputes, petitions, suits, proceedings and matters connected therewith in which one or more of the parties are overseas Pakistanis, shall be heard and adjudicated exclusively by a special court.

⁴ 8. Recording of evidence.— (1)

(2)

(3)

(4).....

(5) A special court, on request of an overseas Pakistani litigant, shall make arrangements to enable the litigant to participate in the court proceedings through video link.

particular category of legal proceedings. The breadth of this definition would be rendered meaningless if the jurisdiction of the Special Court were to be confined only to self-initiated petitions by such persons. This reinforces the conclusion that the Act is concerned with the status of the litigant and the subject matter of the dispute, and not with the technical form in which proceedings are initiated.

13. Equally, it would be incorrect to construe the Act as being confined only to the disputes of ownership or possession in strict and narrow sense. The Act is status-centric and unqualified. It does not condition its applicability upon the nature of the dispute, nor does it confine itself to a litigant asserting possession or ownership. The legislature has thus identified the person to be protected, and not the form of action to be entertained. Any interpretation which makes the applicability of the Act dependent upon the type of claim, rather than the status of the party, runs contrary to the object of the Act. Once the dispute relates to immovable property involving an Overseas Pakistani, the jurisdiction extends to all matters having nexus with such immovable property including those which are connected and incidental thereto. When the preamble, Sections 2(c), 3 and 4(3) of the Act are read together, the apparent inconsistency stands resolved. The preamble indicates the object of protecting ownership and possession along with connected and incidental matters; Section 3 provides for the establishment of a forum; and Section 4(3) delineates the full extent of jurisdiction. The correct approach is, therefore, to read Section 3 as organizational and enabling in nature, and Section 4(3) as declaratory of the substantive jurisdiction. The Act constitutes a self-contained and exclusive jurisdictional regime, excluding parallel jurisdiction of Civil Courts in respect of matters falling within its scope. The Act must be interpreted as a beneficial legislation intended to protect a class of persons who, due to their absence, are vulnerable to prolonged litigation

and property disputes. Such legislation must receive a purposive interpretation advancing the remedy rather than defeating it.

14. The matter can be examined from another angle. The Act clearly mandates that upon promulgation of the Act, all proceedings relating to immovable property of Overseas Pakistanis pending before any Court shall stand transferred to the Special Court and shall be continued from the stage at which they were pending immediately prior to such transfer.⁵ This provision demonstrates that the legislature intended not only to transfer jurisdiction but also to preserve procedural continuity and avoid duplication of proceedings. A plain reading of clause (a) of Section 13 of the Act shows that the legislature has employed the widest possible expressions—“all petitions, suits, execution petitions and all other proceedings”—thereby leaving no category of civil litigation outside its sweep, so long as an Overseas Pakistani is a party. The use of the words “shall stand transferred” makes the transfer automatic and mandatory, requiring no further act of volition by the parties or discretion by the Court.

15. At this juncture, it is imperative to address the concern of the appellant/petitioners as to the fate of those petitions/proceedings, which were initiated after the promulgation of the Act but either not transferred to the Special Courts, or were not entertained by the said Courts or have been made a ping pong between the Special Courts and the Civil Courts due to jurisdictional misinterpretation, or erroneous orders like present appeal and connected matters. In this regard, this Court is of the opinion that the import of Section 13 of the Act cannot be confined merely to

⁵ **13. Transfer of pending cases.**— (1) On the commencement of this Act:

(a) all petitions, suits, execution petitions and all other proceedings pending in any other court, in which overseas Pakistani is a party, shall stand transferred to the special court and on transfer of the cases, the special court may proceed with the cases from the stage at which it was pending; and

(b) all appeals, revisions, in which any or all the parties are overseas Pakistanis, pending before any court after the commencement of this Act, shall stand transferred to special bench or benches of the concerned High Court for adjudication.

cases, which were actually transferred at the time of commencement of the Act. Rather, the principle embodied therein—that all proceedings involving an Overseas Pakistani and relating to immovable property must be adjudicated by the Special Court, and that such proceedings are to continue from the stage already attained—must equally govern those cases which, due to jurisdictional misinterpretation or erroneous orders, were not transferred to or entertained by Special Court or were returned to Civil Courts and have continued there. To hold otherwise would lead to arbitrary and discriminatory consequences, whereby cases similarly situated in law would be treated differently based solely on whether or not an initial transfer was effected, thereby defeating the uniformity and object of the Act. This observation of the Court is derived and substantiated by settled law that no one can be prejudiced by the act of Court and the unsustainable orders of either non-transfer by the Civil Courts or return to the Civil Courts have been made by the Court(s) below, which would violate the object of the Act.

16. At this juncture, objection of learned counsel for respondent No.4 in W.P. No.22275/2026 and W.P. No.22279/2026 needs to be addressed that the party seeking adjudication by the Special Court must exhibit that he is Overseas Pakistani. In this regard, it is imperative to hold that the applicability of the Act is not automatic in every case and is subject to satisfaction of certain foundational requirements. The Court, at the threshold, must examine whether at least one of the parties falls within the definition of an “Overseas Pakistani” as provided under Section 2(c) of the Act. These conditions constitute the jurisdictional trigger for invoking the Act. In cases where no party qualifies as an Overseas Pakistani, such as objection raised in W.P. No.22275/2026 and connected matter referred, the Special Court would not assume jurisdiction. It is open to any party to raise such objection at the earliest stage, and the Court seized with the matter is under a duty to determine

the same before proceeding further.

17. In view of the foregoing discussion, it is held as under:
- i. That the Act is a beneficial and status-specific legislation, and its applicability is determined by the existence of two jurisdictional preconditions, namely: (a) that the dispute relates to immovable property; and (b) that one or more of the parties fall within the definition of an Overseas Pakistani under Section 2(c) of the Act.
 - ii. That the jurisdiction of the Special Court is not confined to disputes of possession or dispossession, nor limited to admitted ownership, but extends to all actions, suits, proceedings and disputes having nexus with immovable property involving an Overseas Pakistani, including matters connected therewith and incidental thereto.
 - iii. That no distinction is to be drawn between a petitioner/plaintiff and a respondent/defendant; the Act is attracted by the status of the litigant, and not by the procedural form of the proceedings or the position (whether petitioner or respondent) in which a party is arrayed.
 - iv. That Section 13 of the Act mandates that all pending petitions, suits, execution petitions and other proceedings, wherein an Overseas Pakistani is a party, shall stand transferred to the Special Court and shall proceed from the stage at which they were pending, thereby ensuring continuity of proceedings and avoiding *de novo* trial. The principle underlying Section 13 of the Act shall, also govern those cases which (even though ought to have been instituted before, entertained and heard by the Special Courts), due to jurisdictional uncertainty, inconsistent orders or refusal by the Courts, have remained pending before or transferred to the Civil Courts even after the commencement of the Act, or were instituted before the Civil Courts subsequently; such suits and proceedings ought to be treated as liable to be transferred and

continued, before Special Court(s), from the stage already attained.

- v. In each case, the Special Court must first satisfy itself, at the threshold, that the statutory conditions are fulfilled, i.e., Overseas Pakistani as a litigant and some nexus with the immovable property, failing which the jurisdiction of the Special Court shall not be attracted.

18. In view of the above declaration related to the statutory scheme envisaged under the Act, the orders impugned in the present appeal as well as connected petitions bearing W.P. Nos.21127/2026 and 22279/2026, having been passed on an erroneous interpretation as to the scope of jurisdiction under the Act, cannot sustain, and hence, are set aside. The matters are accordingly required to be entertained by the Special Courts in the light of the legal position clarified by this Court. However, constitutional petition bearing W.P. No.22275/2026 is misconceived as the matter does not relate to the immovable property and therefore, the order impugned therein is maintained.

19. **Disposed of** in above terms.

20. The Registrar of this Court is directed to circulate a copy of this judgment to all the District and Sessions Judges in Punjab for information and ensuring strict compliance by the Special Courts.

(ANWAAR HUSSAIN)
JUDGE

Approved for reporting

Judge